

ROUND TABLE ON THE FEDERAL TAXATION APFF - 2006 CONFERENCE

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Question 29 - Tax Shelters

Mr. A is a Canadian resident according to the ITA. Holdco is a corporation that Mr. A controls and is also a Canadian-controlled private corporation and a taxable Canadian corporation as defined in the ITA. Mr. A subscribes to a universal life insurance policy that includes a death benefit of 1.5 million \$ of which he is the beneficiary. The insurance policy is an exempt policy for the purpose of the ITA. Mr. A borrows 1.5 million \$ from his bank. It is an interest-bearing demand loan at 6% for 10 years. The brokers who are promoting these arrangements are showing financial projections for more than the 10 years, that is to say up until the time of Mr. A's death assuming that he will live as long as his life expectancy. The interests are paid on a monthly basis. The bank has the right to ask the payment of the loan at any time, including at the time of Mr. A's death or in the event of default. Mr. A can repay the totality or part of the loan at any time; and if he does so, an indemnity will be applicable. Mr. A uses the amount of the loan plus an amount of 500,000 \$ that he personally owns to acquire a life annuity of 2 million \$ from Opco. This annuity is not a prescribed annuity contract.

In order to secure the loan towards the bank, Mr. A gives the bank, as a guaranty, a movable hypothec on the rights, titles and interests he holds in the insurance policy and in the annuity contract. Furthermore, he makes the bank a beneficiary of the policy up to the balance of the unpaid loan. On the other hand, Holdco signs a letter of indemnity to the amount of \$85,000. At the end of the taxation year that ends four (4) years after the day on which the arrangement described above has been entered into, the total of the interest deductions, the portion of the premiums of the insurance policy that are deductible under paragraph 20(1)(e.2) of the ITA and the deductions in respect of the annuity that exceed the amount paid to acquire the annuity.

Questions

- a) Is the CRA consider such arrangements as tax shelters for the purpose of section 237.1 of the ITA?
- b) If so, how would subsection 143.2(6) of the ITA apply (i.e. what would be the result of its application)?

CRA's Response

We cannot answer to your first question since it is a question of fact that has to be resolved in the light of statements or representations made in connection with the property and the documentation concerning the arrangements. *However, in determining if the annuity is a tax shelter under subsection 237.1(1) of the ITA and if a prescribed benefit is expected to be received by a person, we are of the opinion that the demand loan could be considered to be a limited-recourse amount under subsection 143.2(7) of the ITA, and to be a prescribed benefit if it is established that no bona fide arrangements, evidenced in writing and made at the time the indebtedness arose for repayment by the debtor of the indebtedness and the related interest within a reasonable period not exceeding ten (10) years.*

However, in as much as it was determined that the life annuity contract acquired under an arrangement represents a tax shelter under subsection 237.1(1) of the ITA and a tax shelter investment under subsection 143.2(1) of the ITA, we are of the opinion that the cost of the life annuity contract shall be reduced to the amount, if any, by which the amount spent to acquire the contract, amongst other things, exceeds the limited-recourse amounts of the taxpayer, as per subsection 143.2(6) of the ITA. This adjustment to the cost would reduce the adjusted cost basis of the annuity contract, determined under subsection 148(9) of the ITA, and the amount of this new adjusted cost basis would be used to establish the amount to be included in the taxpayer's income as per subsection 12.2(1) of the ITA.

Guy Goulet
(613) 957-9768
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